

Price Norm

Pascal Michailat
<https://pascalmichaillat.org/w/>

Possible price norms:

- Nash bargaining b/w seller & buyer
- Surplus sharing
- Other forms of bargaining
- Fixed price (parameter)
- Rigid price (function of the parameters)
- Competitive price $\rightarrow$ price that ensures aggregate efficiency (or competitive search)

Price norm: Assume that all prices are given by a price norm:

$$p = p^n (\text{parameters, aggregate variables})$$

$$\hookrightarrow p = p^n (\text{parameters, } x)$$

Goal Set a price norm that reflects how prices are set in practice $\rightarrow$ empirically valid